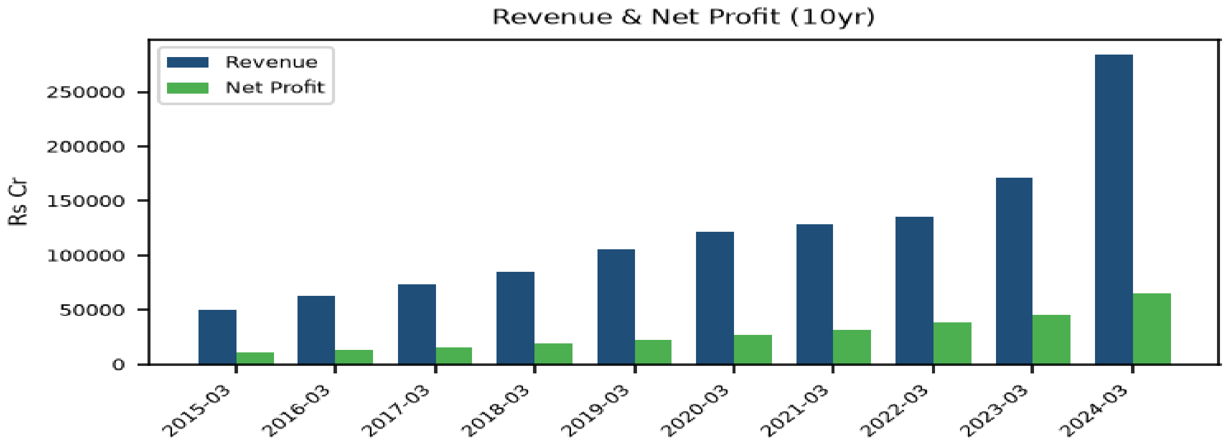
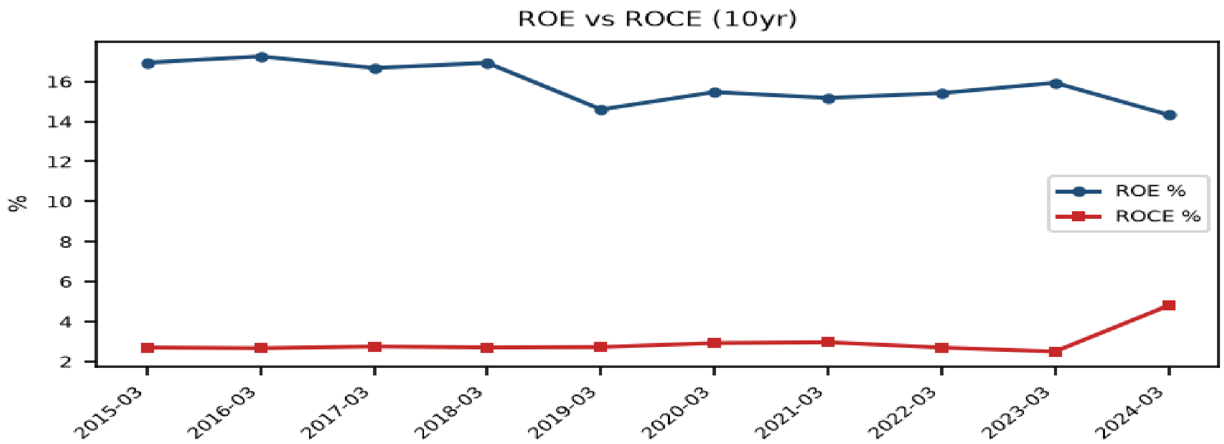
HDFC Bank Ltd (HDFCBANK)

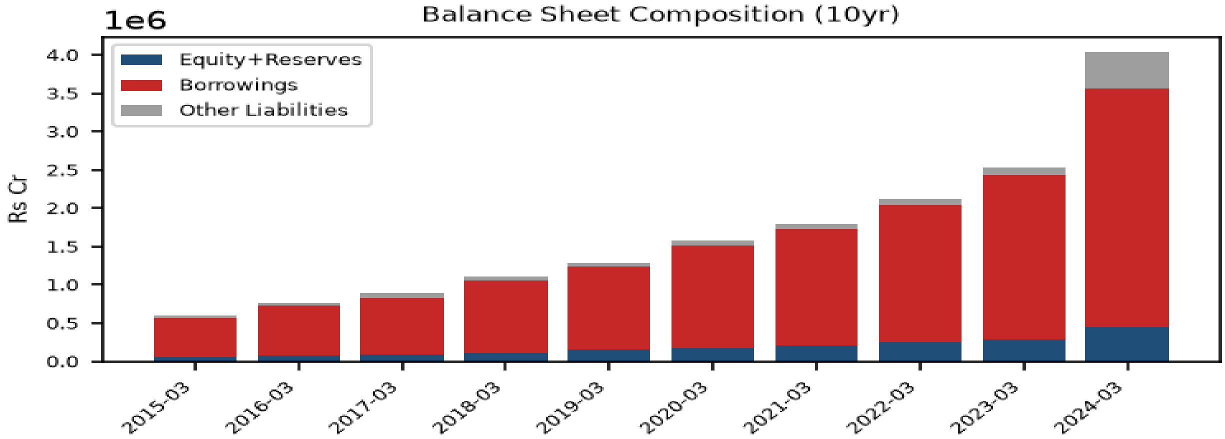
Sector: Financials

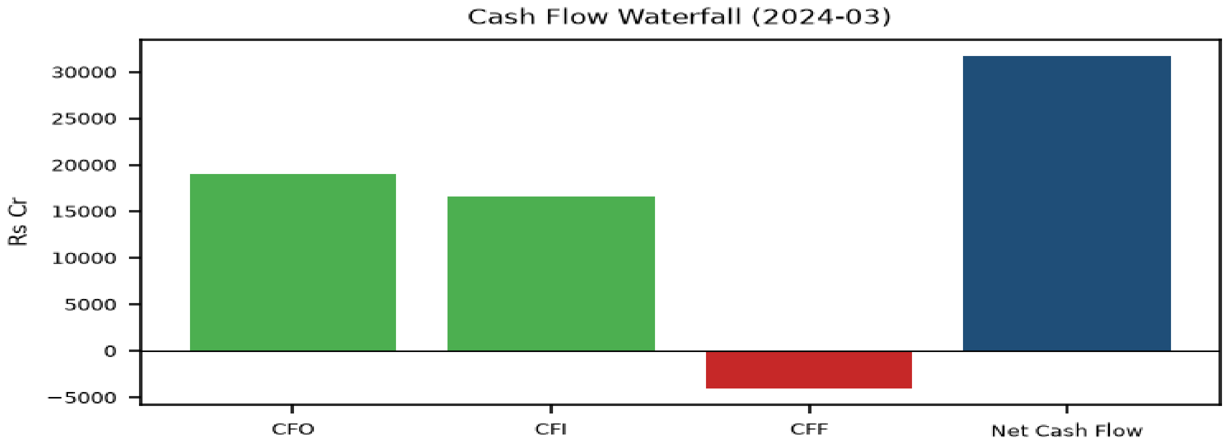
ROE	ROCE	D/E
14.3%	4.8%	6.81x

OPM	Revenue CAGR 5yr	Free Cash Flow
61.4%	22.0%	Rs 35,669 Cr









Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Liquidating Assets